India & Palestine: Strengthening Partnership, Shaping Shared Growth

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Foreword

Palestine occupies a distinctive position within the economic landscape of West Asia. Home to roughly 5.5 million people across the West Bank, including East Jerusalem, and the Gaza Strip, with a young, highly literate and entrepreneurial population, strong higher-education institutions and a rich agricultural, artisan and technology tradition, Palestine holds long-term promise in health, food and agro-processing, renewable energy and water, information technology, construction and services. At the same time, restrictions on movement and access, fiscal stress, a fragmented and very small market, the absence of a national currency and the severe economic damage caused by the conflict that began in 2023 temper the pace at which this potential translates into realised opportunity, shaping a market where talent, resilience and international goodwill coexist with exceptional constraints.

India and Palestine have maintained friendly and enduring relations, supported by political dialogue, consistent development partnership, cooperation in multilateral forums and strong people-to-people goodwill. Direct trade between the two countries has remained modest and is often routed through third countries, with Indian exports including medicines, foodstuffs, vehicles, machinery and manufactured goods, while Palestine offers speciality products such as dates, olive oil and stone, together with technology talent and services.

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Palestine in a manner appropriate to current conditions, whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, or institutional dialogue with Palestine's relevant ministries, investment-promotion institutions and national chambers of commerce, that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of the Palestinian economy, its priority sectors, and the opportunities and constraints shaping India–Palestine economic engagement, serving as a reference for CCI India's engagement with the Representative Office of India in Ramallah, Palestinian stakeholders, and Indian companies assessing the market. Conditions in Palestine can change rapidly, and readers should verify current circumstances before commercial decisions are taken.



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PALESTINE

> Walk through lands of deep history and cultural identity. Every journey carries stories of resilience, heritage, and human connection.



Basic Facts and Overview

The State of Palestine encompasses the Israeli-occupied West Bank, including East Jerusalem, and the Gaza Strip. It is located in West Asia. Its proclaimed capital is Jerusalem, while Ramallah serves as the de facto administrative centre. The official language is Arabic.

The population of the State of Palestine was estimated to be around 5.48 million in 2023.4 The majority of the population are Palestinian Arabs, and Islam is the predominant religion, though there is a significant Christian minority.

The economy is classified as a developing/emerging, lower-middle-income economy. The currency situation is unique: there is no official Palestinian currency. The currencies generally in use are the Israeli New Shekel (ILS), the Jordanian Dinar (JOD) (especially in the West Bank), and the United States Dollar (USD).

Economy and GDP

The economy of Palestine is relatively small and constrained by ongoing geopolitical challenges, including restrictions on the movement of goods and people. As of 2023, its GDP is estimated at around $17–18 billion, with a per capita income of approximately $3,464. The service sector is the largest contributor, followed by industry and agriculture, with key activities such as cement production, quarrying, textiles, olive-wood crafts, and food processing. The economy also remains heavily dependent on international donor aid. Despite some growth potential in sectors like tourism, agriculture, and manufacturing, the economy is highly vulnerable to external shocks.

Bilateral Trade

Bilateral trade between India and Palestine is limited but gradually growing. India mainly exports pharmaceuticals, textiles, and machinery, while imports from Palestine are minimal, including products like olive oil and handicrafts. Despite constraints, development cooperation and aid continue to support stronger economic ties.

Culture and Heritage

Palestinian culture and heritage are deeply rooted in Levantine Arab traditions, reflecting a rich history of art, folklore, and community life. Traditional expressions such as the Dabke dance play an important role in celebrations, while cuisine featuring olive oil, za'atar, hummus, falafel, and dishes like Musakhan highlights strong culinary traditions.

Bilateral Trade with India and Economic Ties (in Billion)

Bilateral trade between India and the State of Palestine is not conducted in the billions of US dollars; it is currently at a much smaller scale, often in the millions.

- **Total Bilateral Trade:** In 2023, India's exports to Palestine were approximately **$703 thousand (USD 0.0007 billion),** and imports from Palestine were approximately **$694 thousand (USD 0.00069 billion).** These figures highlight the relatively low volume of direct bilateral trade.
- **Indian Exports to Palestine:** The top export from India to Palestine in 2023 was Vaccines, blood, antisera, toxins, and cultures.
- **Palestinian Exports to India:** The main export from Palestine to India in 2023 was Tropical Fruits.

India's Import/Export with Palestine

India's direct trade relationship with Palestine is modest.

- **Key Indian Exports to Palestine:** These primarily include Pharmaceutical products (e.g., packaged medicaments), and potentially products like iron and steel, plywood, and copper products.
- **Key Indian Imports from Palestine:** The primary commodity is Tropical Fruits.

Economic Ties

India and Palestine have a historically strong and supportive relationship. India has consistently advocated for the Palestinian cause and provides substantial economic and development assistance. This includes:

- **Development Aid:** Financial and technical assistance in sectors like health, education, and infrastructure.
- **Capacity Building:** India offers training slots to Palestinian professionals under its Indian Technical and Economic Cooperation (ITEC) program.
- **Investment:** Despite the low bilateral trade value, there is a focus on promoting investment, particularly in sectors like Information and Communication Technology (ICT) and agriculture, to support Palestinian economic self-reliance.



1. Palestine: Economic Profile and Business Environment

1.1 Country overview

Palestine comprises the West Bank, including East Jerusalem, and the Gaza Strip, with a combined population of about 5.5 million people. It is a young, highly literate society with a strong tradition of entrepreneurship, higher education and diaspora engagement. Ramallah is the administrative centre of the Palestinian Authority (PA), while Palestine seeks East Jerusalem as its capital. Arabic is the official language and English is widely used in business. Palestine is recognised by India and by a large majority of United Nations members and has been a non-member observer State at the United Nations since 2012.

The economy has been shaped for decades by restrictions on movement and access, fragmentation between the West Bank and Gaza, and a heavy dependence on trade, labour and fiscal arrangements with Israel. The conflict that began in October 2023 caused the deepest economic contraction on record, particularly in Gaza. Conditions remain fragile and change quickly, and this paper should be read as a framework for engagement that must be checked against the situation at the time of any business decision.

1.2 Structure of the economy

Services: trade, public administration, education, health, finance, telecommunications and tourism account for the majority of output.

Industry and manufacturing: stone and marble, food processing, pharmaceuticals, furniture, plastics, leather and footwear, textiles and construction materials, concentrated mainly in the West Bank.

Agriculture: olives and olive oil, dates, citrus, vegetables, herbs and livestock, constrained by water and land access.

Information and communications technology: a small but dynamic sector of software, outsourcing and start-ups, with strong Arabic and English capability.

Labour income and aid: wages earned in Israel before the conflict, remittances and international assistance have been important sources of household and fiscal support.

1.3 Institutions and governance

The Palestinian Authority administers parts of the West Bank and, before 2007, administered Gaza; since then the territories have been governed separately. The Palestinian Legislative Council has not functioned for many years and much legislation is issued by decree. The PA faces a severe fiscal squeeze,

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with clearance revenues collected on its behalf by Israel having been withheld in part, wage arrears and rising public debt, and it relies on donor support. The PA has an active reform agenda, and the Palestine Monetary Authority (PMA) is regarded as a capable supervisor of a banking sector that has remained functioning through the crisis.

For investors, the main considerations are legal layering, security, access and counterparty risk rather than the absence of institutions. Local legal advice and strong contractual protection are essential.

1.4 Trade orientation

Palestine's trade is governed in practice by the 1994 Paris Protocol on Economic Relations, which created a common customs envelope with Israel. Israel controls external borders, crossings and customs clearance, and collects import duties and value-added tax on goods destined for Palestinian markets before transferring them to the PA as clearance revenues. As a result, most Palestinian exports go to Israel, and a majority of imports come from or through Israel, with Jordan, Turkey, China, Egypt and the European Union as other significant partners. Palestine has trade arrangements with the European Union, EFTA, Turkey and Arab League members, among others, but making use of them depends on origin rules and on logistics.

1.5 Business environment summary

Factor	Observation	Implication
Security and political context	Fragile ceasefire in Gaza; tensions and restrictions in the West Bank	Phased commitments; continuous risk monitoring
Market size	About 5.5 million consumers, fragmented geographically	Niche and project-based strategy; regional links
Movement and access	Checkpoints, permits and controlled crossings	Delays and costs; plan logistics early
Public finances	Fiscal stress, arrears and dependence on donors	Payment-security and counterparty diligence
Currency and banking	No national currency; shekel, dinar and dollar in use; surplus-shekel pressures	Choose invoicing currency carefully; bank selection matters
Skills	Educated, English- and Arabic-speaking workforce	Talent partnerships and remote delivery
Costs	High energy, water and input costs, much supplied through Israel	Efficiency and own-power solutions

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